

STRATUM CAPITAL BANK

Enterprise Governance & Risk Framework

CHAPTER 5

Loan Policy Manual & Credit Decision Framework

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5.1 Purpose of Loan Policy

This chapter constitutes Chapter 5 of the Stratum Capital Bank Enterprise Governance & Risk Framework. It establishes the Bank's comprehensive Loan Policy — the authoritative internal instrument governing all aspects of credit origination, assessment, approval, exception handling, and post-decision administration across the Bank's retail, mortgage, and commercial lending portfolios.

The Loan Policy exists to fulfil four interrelated institutional objectives:

1. To define the standards, criteria, and processes by which credit applications are evaluated so that lending decisions are consistent, defensible, and aligned with the Bank's stated risk appetite.
2. To protect the Bank's financial soundness by ensuring that credit is extended only to applicants who demonstrate the requisite capacity, character, and collateral support as evaluated through structured and documented assessment.
3. To provide a clear, auditable framework for human credit officers, senior analysts, and the Board Risk & Compliance Committee to supervise and govern all lending activity, including AI-assisted decision support.
4. To satisfy the requirements imposed by applicable banking legislation, prudential standards, consumer credit regulations, and the directives of the Bank's primary regulatory supervisors.

This chapter governs all loan products offered by the Bank as further defined in Section 5.3 and applies to every stage of the credit lifecycle from initial application intake through to final decision communication and, where applicable, post-decision appeals.

Policy Supremacy Notice: In the event of any conflict between this chapter and any marketing material, product term sheet, system-generated recommendation, or prior version of this policy, this chapter shall prevail. All credit decisions must be grounded in the provisions of this document.

This policy builds upon the governance structures, data management standards, customer classification frameworks, and regulatory compliance obligations established in Chapters 1 through 4 of the Enterprise Governance & Risk Framework. References to those chapters should be read as forming part of the integrated policy environment within which credit risk is managed.

This chapter also functions as the primary indexed knowledge source for the Bank's Retrieval-Augmented Generation (RAG) policy engine, which supports — but does not replace — the judgement of qualified credit professionals. The responsibilities, authorities, and obligations of those professionals are detailed throughout the sections that follow.

5.2 Lending Philosophy

Stratum Capital Bank approaches credit extension as a fiduciary responsibility, not merely a commercial transaction. The Bank's lending philosophy rests on the principle that responsible credit must serve the genuine financial interests of borrowers while preserving the long-term stability of the institution and the confidence of its depositors, shareholders, and regulators.

The Bank subscribes to the following foundational lending principles:

5.2.1 Affordability as the Primary Test

The Bank will not extend credit where there is material doubt about the applicant's capacity to service the debt over its full term without undue financial hardship. Affordability assessment is not limited to income-to-repayment ratio calculations; it encompasses a holistic review of the applicant's financial position, including existing liabilities, asset base, declared expenditure patterns, and foreseeable changes in financial circumstances.

5.2.2 Evidence-Based Decision Making

Every credit decision must be supported by verified, documented evidence. Assertions made by applicants in the absence of corroborating documentation shall not be accepted as sufficient basis for approval. The standard of evidence required is commensurate with the size, complexity, and risk profile of the credit exposure.

5.2.3 Risk Proportionality

The intensity of credit scrutiny applied to any application shall be proportionate to the level of risk it presents. Low-risk standard applications that satisfy all policy requirements may be processed through streamlined review pathways. Higher-risk applications require escalated human review, additional documentation, and, in some cases, formal exception approval. No application shall be approved in a manner that circumvents proportionate risk assessment.

5.2.4 Human Accountability

Lending decisions at Stratum Capital Bank are made by qualified human credit professionals operating within the authority limits set by this policy. Technology tools, including the Bank's AI-powered Credit Risk Prediction Model and RAG Policy Retrieval Engine, are deployed to support and enhance human judgement, not to substitute for it. The officer or analyst whose name appears on the credit assessment bears personal accountability for the quality and integrity of that assessment.

5.2.5 Regulatory and Ethical Compliance

All lending activity must comply with applicable consumer credit legislation, anti-money laundering regulations, data protection law, fair lending obligations, and the Bank's internal ethical standards. The Bank will not engage in predatory lending, discriminatory credit practices, or the extension of credit designed to generate fee income at the expense of borrower welfare.

5.2.6 Portfolio Sustainability

The Bank maintains a diversified credit portfolio consistent with Board-approved concentration limits and sector exposure caps. No individual credit decision shall be made in isolation from portfolio-level risk considerations. Credit officers are expected to be familiar with current portfolio composition and to flag applications that, if approved, would contribute to material concentration risk in any sector, geography, or product type.

5.3 Loan Products Covered

This policy governs all credit products within the Bank's standard retail, mortgage, and commercial lending suite. Each product category carries its own eligibility criteria, documentation requirements, risk assessment parameters, and approval thresholds, which are addressed in subsequent sections. The four primary product categories are as follows:

5.3.1 Personal Loans

Personal loans are unsecured or partially secured credit facilities extended to individual retail customers for personal, family, or household purposes. Permissible use cases include debt consolidation, home improvement, education expenses, medical costs, and other personal expenditure. Personal loans are not to be approved where the declared purpose involves speculative investment, business formation, or any activity that would more appropriately be addressed through a dedicated commercial product.

Personal loans are governed by consumer credit regulations and are subject to mandatory affordability assessments, responsible lending disclosures, and cooling-off rights as applicable under statute.

5.3.2 Mortgage Loans

Mortgage loans are secured credit facilities used to finance the acquisition, construction, or refinancing of residential or commercial property. The security interest in the underlying property is a primary risk mitigant and must be formally registered and documented prior to drawdown. Mortgage underwriting incorporates both borrower creditworthiness assessment and property valuation conducted by a Bank-approved independent valuer.

Mortgage loans are subject to all applicable residential and commercial mortgage regulations, including loan-to-value (LTV) restrictions, affordability stress testing, and mandatory independent legal advice for certain borrower categories.

5.3.3 SME Loans

SME loans are credit facilities extended to small and medium-sized enterprises as defined by the Bank's Commercial Classification Policy (Chapter 2). These loans support working capital, asset acquisition, trade finance, and general business growth. SME underwriting incorporates both the financial performance of the business entity and, where applicable, the personal financial position of directors and guarantors.

SME loan assessments require business financial statements in addition to standard personal documentation where guarantors are involved. All guarantors must provide separate affordability declarations and must be independently advised of the nature and extent of their obligations.

5.3.4 Business Loans

Business loans are credit facilities extended to established corporate entities, partnerships, and sole traders operating beyond the SME classification threshold. Business loan underwriting is governed by the Bank's Commercial Credit Policy (Chapter 4) as supplemented by this chapter, and requires comprehensive financial analysis, sector risk assessment, and, in most cases, formal security arrangements including fixed and/or floating charges over business assets.

Scope Note: Products not listed in Section 5.3 — including overdraft facilities, trade finance instruments, project finance, and specialist lending products — are governed by product-specific policy supplements approved by the Chief Credit Officer and are not within the scope of this chapter.

5.4 Customer Eligibility Requirements

Before any credit application proceeds to financial assessment, the applicant must satisfy each of the following baseline eligibility requirements. Failure to satisfy any one requirement shall result in automatic disqualification unless a documented exception is approved in accordance with Section 5.16.

5.4.1 Age

All applicants must have attained the minimum legal age for entering into binding credit contracts in their jurisdiction of residence. For the majority of jurisdictions in which the Bank operates, this is eighteen (18) years of age. Applications submitted on behalf of, or co-signed by, individuals below this age threshold shall not be accepted. Proof of age must be established through a primary identity document as specified in Section 5.5.

For certain mortgage products and business loans, the Bank applies an additional maximum age assessment at the point of anticipated loan maturity to ensure that the repayment term does not extend beyond a borrower's expected income-generating years. This assessment is applied through the affordability framework described in Section 5.8.

5.4.2 Legal Identity

All applicants must be capable of entering into legally enforceable contracts and must be acting on their own behalf or under a documented and verified power of attorney. Applications submitted by persons who are subject to bankruptcy restrictions, legal incapacity orders, or equivalent legal constraints shall not proceed without the written approval of the Bank's Legal Division.

Corporate applicants must be duly incorporated, registered, and in good standing in their country of incorporation. Applications from entities that are dormant, dissolved, or under formal administration shall be declined.

5.4.3 Residency

Applicants must be resident in a jurisdiction in which the Bank holds the necessary authorisations to conduct lending business. Non-resident applicants may only be considered for credit facilities where the Bank has obtained specific regulatory approval for cross-border lending and where all applicable foreign exchange and tax reporting obligations can be satisfied.

Where residency status is temporary, conditional, or pending renewal, the credit officer must assess whether the term of any proposed facility could extend beyond the confirmed period of permitted residency. Applications where residency status is uncertain shall be escalated to a Senior Credit Analyst for review.

5.4.4 KYC Completion

No credit application shall proceed to financial assessment until the applicant has completed the Bank's standard Know Your Customer (KYC) process to a satisfactory standard. KYC completion requires successful identity verification, sanctions screening, Politically Exposed Person (PEP) assessment, and adverse media checks as prescribed in the Bank's Anti-Money Laundering & Financial Crime Policy (Chapter 1).

Where KYC results reveal elevated risk indicators — including but not limited to PEP status, sanctions adjacency, adverse media findings, or inconsistencies in declared identity information — the application shall be referred to the Bank's Financial Crime Compliance team prior to any credit decision. A Financial Crime Compliance clearance must be obtained and documented before approval can be granted.

5.4.5 Financial Standing

Applicants must not be subject to active county court judgements (CCJs), enforcement orders, or equivalent legal proceedings arising from prior financial obligations at the time of application, unless the credit officer can document that such judgements have been satisfied and that the circumstances giving rise to them have materially changed. Applications from individuals currently in Individual Voluntary Arrangements (IVAs), Debt Management Plans, or equivalent structured debt resolution schemes shall be subject to mandatory manual review.

5.5 Required Documentation

The Bank requires the collection and verification of specific documentary evidence before any credit application may be assessed or approved. The following documentation standards apply across all products, with additional business-specific requirements set out where applicable. All documents must be current, legible, and free from signs of alteration or tampering. Any document that appears to have been modified must be flagged under the fraud identification protocol outlined in Section 5.15.

5.5.1 Identity Documents

Each applicant must provide at least one primary government-issued photographic identity document and one secondary proof of identity. Acceptable primary documents include:

- Valid national passport (all nationalities)
- National identity card issued by a recognised government authority
- Driving licence (where it bears a photograph and is issued by a competent national authority)
- Residence permit or biometric residence permit (for non-citizens)

Secondary identity documents — which must corroborate the primary — include recent utility bills, bank statements, official correspondence from a government body, or a tenancy agreement, all of which must be dated within ninety (90) days of the application date.

5.5.2 Income Verification

Income documentation must support the income figures declared in the application. Acceptable income verification documents include:

- Payslips for the three most recent consecutive months (for employed applicants)
- P60 or equivalent annual earnings summary for the most recently completed tax year
- Tax assessment or self-assessment return for the two most recent tax years (for self-employed applicants)
- Certified audited accounts for the most recent two financial years (for directors and business owners)
- Pension award letter or benefits statement (for retired or benefit-receiving applicants)
- Signed rental income statement supported by tenancy agreements (for applicants declaring rental income)

5.5.3 Employment Verification

Employed applicants must provide confirmation of their employment status and tenure. Acceptable documents include a signed employer confirmation letter on company letterhead, a current employment contract, or an HR verification letter. The document must state the applicant's name, current position,

employment start date, and gross salary or remuneration package. For applicants in senior roles, the Bank reserves the right to request additional verification through direct employer contact.

5.5.4 Bank Statements

Applicants must provide full bank statements covering a minimum of the three most recent consecutive months for all active accounts used to receive income or service existing debts. Statements must be provided in unedited format, whether as original paper documents or as complete digitally-issued statements from the financial institution. Screenshots, partial statements, or documents from which transaction detail has been redacted shall not be accepted unless accompanied by a written explanation and supporting documentation.

5.5.5 Credit Bureau Report

The Bank will conduct a formal credit bureau search for each applicant using one or more of the Bank's approved credit reference agencies. The credit bureau report forms the basis of the credit history assessment described in Section 5.9. Where an applicant disputes information contained in a credit bureau report, this must be declared at the point of application and supporting evidence of any dispute filed with the credit reference agency must be provided. Undisclosed disputes discovered during the credit review process shall be treated as a material documentation concern.

5.5.6 Business Financials (Where Applicable)

For SME and business loan applications, the following additional documentation is required:

- Audited or certified financial statements for the two most recent financial years
- Management accounts for the current financial year-to-date
- Business bank statements for the six most recent months
- Cash flow projections for a minimum of twelve months from the date of application
- Business plan (for new or early-stage businesses, or where the purpose of the loan is transformative)
- Certificate of incorporation and constitutional documents
- Details of all directors, shareholders holding ten percent (10%) or more of equity, and all guarantors
- Confirmation of any outstanding tax obligations or existing security interests over business assets

Where financial statements have not been audited, the Bank may require a letter of confirmation from the applicant's external accountant or tax adviser. The Bank reserves the right to commission independent verification of any business financial information provided.

5.6 Income Policy

5.6.1 Acceptable Income Sources

The Bank accepts the following categories of income for the purpose of affordability assessment, subject to the verification and stability requirements set out below:

- Primary employment income: base salary, regular contractual overtime, and guaranteed allowances forming part of a verified employment contract
- Self-employment income: net profit as declared in certified accounts, averaged over the most recent two tax years
- Pension and retirement income: state pension, occupational pension, and annuity payments confirmed by award letter
- Rental income: net rental income from residential or commercial property, verified through tenancy agreements and bank statement credits, subject to the Bank's standard rental income haircut
- Investment income: dividends, interest, and investment distributions that have been consistently received for a minimum of two years, verified through tax returns and bank statements
- Government benefits: certain state benefits that are non-means-tested and of a long-term or permanent nature may be included at the credit officer's discretion, subject to Senior Credit Analyst confirmation for amounts material to overall affordability

5.6.2 Income Stability Requirements

Income will only be used in an affordability assessment if it can be demonstrated to be stable, recurring, and likely to continue throughout the proposed loan term. The following principles apply:

- Income that has been received for less than three months in the current employment or income-generating arrangement shall generally be excluded from the primary affordability calculation. The credit officer may exercise discretion where there is a clear, documented continuity from a prior comparable arrangement.
- Irregular income — including commission, bonus, overtime above contractual hours, and seasonal income — shall be assessed on the basis of a two-year average, unless the credit officer can document a compelling reason to use a different basis. In all cases, the basis of calculation must be stated explicitly in the credit assessment file.
- Income that is materially dependent on a single client, contract, or employer, or that is contingent on market conditions subject to significant volatility, shall be subject to a stress reduction applied by the Senior Credit Analyst at the time of review.

5.6.3 Verification Standards

Declared income figures must be verified against independent documentary evidence as specified in Section 5.5.2. The verified income figure shall be the figure used in the affordability assessment. Where a

declared income figure cannot be verified to the Bank's standard, the lower verifiable figure shall be used, or the application shall be declined where the unverifiable income is material to affordability.

The credit officer shall document the income figure used, the documents relied upon, and any adjustments made to the declared figure, including the reasons for those adjustments. This documentation forms part of the permanent credit file.

5.7 Employment Policy

5.7.1 Employment Stability

The Bank considers employment stability a significant indicator of income continuity and, by extension, repayment capacity. Employment history is assessed not only in terms of current tenure but also in terms of consistency, career trajectory, and the likelihood of continued employment throughout the proposed loan term.

5.7.2 Tenure Expectations

While the Bank does not apply a rigid minimum employment tenure as a universal requirement, the following expectations guide the credit assessment:

- Applicants who have been continuously employed in their current role for twelve (12) months or more are considered to demonstrate standard employment stability.
- Applicants who have been employed for fewer than six (6) months in their current role will be assessed with additional scrutiny, and the credit officer must document the basis on which income continuity is considered acceptable.
- Applicants who have changed employers more than twice in the preceding twenty-four (24) months, without evidence of career advancement or sector consistency, shall be escalated to a Senior Credit Analyst for assessment of income continuity risk.

5.7.3 Probationary Employment

Applicants who are currently serving a probationary period under their employment contract require specific handling. Probationary employment introduces income continuity risk because confirmation of permanent employment is contingent on satisfactory performance review. The following approach applies:

- Applications from applicants in an active probationary period shall not be approved on the basis of the probationary income alone without Senior Credit Analyst review.
- Where the applicant has a strong prior employment history in the same field and the probationary role represents a continuation or advancement of an established career, this context shall be documented and may support a positive income continuity assessment.
- Where approval is recommended for an applicant on probation, the credit officer must clearly document the basis for the income continuity assessment and the Senior Credit Analyst must countersign the approval recommendation.

5.7.4 Self-Employed Applicants

Self-employed applicants are assessed on the net profit of their business activity as evidenced by tax returns and, where applicable, certified accounts. The following additional considerations apply:

- Income is averaged over the two most recent completed tax years. Where the most recent year shows a decline of more than fifteen percent (15%) compared to the prior year, the lower figure shall be used unless the decline can be satisfactorily explained and is expected to reverse.
- Newly self-employed applicants — those with fewer than two years of trading history — will be assessed with significantly greater caution, and approval of substantial credit facilities will generally require the intervention of a Credit Manager or above.
- Self-employed applicants with declared income materially below the level indicated by lifestyle factors, declared assets, or business bank statement credit flows shall be subject to enhanced due diligence.

5.7.5 Contract Workers

Fixed-term contract employees and those working through agencies or umbrella companies present income continuity considerations that must be explicitly addressed in the credit assessment. The credit officer must assess:

- The remaining term of the current contract and whether it extends beyond the first twelve months of the proposed loan
- The track record of contract renewal, evidenced by prior contracts or a contractor's employment history
- The applicant's sector and the general demand outlook for their skills

Contract workers with a consistent contracting history of two years or more in the same field, with contract renewals evidenced, may be assessed on a broadly comparable basis to permanent employees, with appropriate notation in the credit file. Those with limited contracting history or who are engaged in sectors subject to high volatility shall be assessed with greater caution.

5.8 Debt-to-Income Policy

5.8.1 Assessment Methodology

The debt-to-income (DTI) ratio is a central metric in the Bank's affordability assessment framework. It measures the proportion of a borrower's verified gross income that would be committed to servicing all existing and proposed debt obligations on a monthly basis. The DTI ratio is used to assess whether credit extension would leave the borrower in a position of undue financial strain.

The DTI calculation used by the Bank incorporates the following components:

- Numerator: the sum of all monthly debt obligations, including the proposed new loan repayment, existing mortgage or rent commitments, credit card minimum payments, personal loan repayments, hire purchase obligations, and any other regularly scheduled debt service
- Denominator: the verified gross monthly income figure determined through the income assessment described in Section 5.6

The resulting ratio is expressed as a percentage and evaluated against the Bank's current affordability thresholds, which are maintained by the Chief Credit Officer and reviewed on a semi-annual basis in line with prevailing macroeconomic conditions, interest rate environments, and regulatory guidance.

5.8.2 Affordability Principles

The DTI ratio is a necessary but not sufficient determinant of affordability. The following principles govern the Bank's holistic affordability assessment:

- Residual income: in addition to the DTI ratio, the credit officer must assess whether, after meeting all debt obligations, the borrower retains sufficient net monthly income to meet their expected essential living costs. Standardised living cost estimates are maintained by the Credit Risk function and updated periodically. Applicants whose residual income falls below the applicable threshold shall not proceed to approval without Senior Credit Analyst review.
- Stress testing: all mortgage applications and business loan applications must be stress-tested against a simulated interest rate increase to assess whether affordability is maintained under adverse rate conditions. The stress test rate to be applied is specified in the Credit Risk Parameters schedule maintained by the Chief Risk Officer.
- Expenditure verification: where an applicant's declared expenditure appears materially inconsistent with their transaction history as shown in bank statements, the credit officer must investigate the discrepancy and document the outcome before proceeding with the affordability assessment.
- Lifecycle considerations: where an applicant is approaching retirement, or where there are known material changes in income or expenditure anticipated during the loan term (e.g., expiry of a fixed-rate period, known changes in family circumstances), these must be modelled in the forward affordability assessment.

5.8.3 Automated DTI Screening

The Bank's credit origination system generates an automated DTI indicator as part of the initial application processing workflow. This indicator is provided as a decision support tool and does not constitute an affordability decision. The credit officer retains full responsibility for the affordability assessment and must not rely solely on the automated indicator without completing the broader assessment described in this section.

5.9 Credit History Policy

The credit history of an applicant provides material insight into their pattern of financial obligation management. The Bank assesses credit history through formal credit bureau enquiries and the review of credit bureau reports, supplemented by the transaction history review conducted as part of bank statement analysis.

5.9.1 Payment History

Payment history is the most significant component of credit assessment. The credit officer shall evaluate the frequency, recency, and severity of any late or missed payments across all credit obligations reported to the credit reference agencies. In assessing payment history, the following framework applies:

- Applications showing no missed or late payments across all credit obligations in the preceding twenty-four (24) months will be assessed as presenting a strong payment record.
- Applications showing isolated late payments — defined as payments made between one and thirty days late on no more than two occasions within a twenty-four month period — shall be noted in the credit file but shall not, in isolation, constitute grounds for decline.
- Applications showing repeated late payments, payments more than sixty (60) days past due, or a pattern of deteriorating payment behaviour in the twelve months preceding application shall be escalated to a Senior Credit Analyst.

5.9.2 Bankruptcies and Insolvency Events

The Bank's policy on prior insolvency events is as follows:

- Applications from individuals who are currently bankrupt, subject to a Debt Relief Order, or within an active IVA shall be declined in all cases without exception.
- Applications from individuals who have been discharged from bankruptcy within six (6) years of the application date shall be subject to mandatory manual review by a Credit Manager. Approval of such applications requires extraordinary justification and documentation of material rehabilitation.
- Applications from individuals with a historic bankruptcy discharged more than six (6) years prior to the application date may be considered on their merits, with appropriate notation in the credit assessment and consideration of the circumstances that gave rise to the prior insolvency.

5.9.3 Collections and Charge-offs

Accounts that have been referred to collection agencies or charged off by prior lenders represent a material derogatory credit event. Applications where the credit bureau report shows an active collection account shall require documentation of the circumstances and, where the amount is material, evidence of resolution or a settlement plan. Charge-offs that remain unsatisfied at the time of application shall generally result in decline, absent extraordinary mitigating circumstances approved by a Credit Manager.

5.9.4 Revolving Credit Utilisation

High utilisation of revolving credit facilities — typically above seventy-five percent (75%) of available limits across all revolving accounts — indicates potential reliance on available credit and may signal financial stress. The credit officer shall assess revolving utilisation trends across the review period. A pattern of consistently high utilisation, or a trend of increasing utilisation approaching application date, shall be explicitly noted in the credit assessment.

5.9.5 Defaults

A formally recorded default on a credit bureau report represents a serious derogatory event. Applications from individuals with a registered default within the past three (3) years shall require Credit Manager approval. Defaults recorded between three (3) and six (6) years prior to the application date shall require Senior Credit Analyst review and clear evidence of improved financial management. Satisfied defaults — where the balance has been repaid — are viewed more favourably than unsatisfied defaults but are not disregarded.

5.9.6 Credit Rehabilitation Considerations

The Bank acknowledges that adverse credit history does not permanently disqualify an applicant from accessing credit. Where an applicant can demonstrate meaningful credit rehabilitation — characterised by a sustained period of responsible credit management following prior difficulty — this shall be weighed constructively in the credit assessment. Evidence of rehabilitation includes:

- A period of at least twenty-four (24) consecutive months without any missed payments following resolution of prior derogatory events
- Successful management of a small credit facility (such as a secured credit card) during the rehabilitation period
- Documented improvement in financial circumstances that explains the prior difficulties and reduces the risk of recurrence

5.10 Loan Amount & Loan Term Policy

5.10.1 Maximum Exposure Principles

The maximum loan amount that may be approved for any individual applicant is determined by the intersection of three factors: the applicant's verified affordability, the Bank's product-specific exposure limits as maintained in the Credit Risk Parameters schedule, and the Board-approved single-name and sector concentration limits.

The credit officer must ensure that the proposed loan amount does not result in a total credit exposure — including all existing facilities with the Bank — that exceeds levels consistent with the applicant's verified financial capacity. In assessing maximum exposure, the officer shall consider:

- Total outstanding debt obligations to all lenders as reported by the credit bureau
- The applicant's demonstrated ability to manage existing credit obligations
- The proposed purpose of the loan and whether the amount requested is commensurate with the stated purpose
- The presence or absence of security, and the quality and liquidity of any collateral offered

Applications where the requested amount materially exceeds the apparent financial capacity of the applicant — even where automated scoring may indicate approval — shall be escalated for manual review. The Bank does not encourage maximisation of loan amounts relative to affordability capacity.

5.10.2 Repayment Term Suitability

The proposed repayment term must be appropriate to the purpose and nature of the loan. The following principles guide term assessment:

- The repayment term should align with the useful life or benefit period of the asset or expenditure being financed. Consumer loans for perishable goods or short-term purposes should carry shorter terms than capital expenditure financing.
- Extended terms that reduce monthly repayments to an affordable level while significantly increasing total interest payable must be assessed for fairness and value to the borrower, particularly for retail applicants.
- For mortgage loans, the total term must be assessed in the context of the borrower's age and anticipated retirement income, to ensure that repayments remain affordable throughout the term.
- For business loans, the term should reflect the underlying business cycle, asset depreciation profile, or revenue generation timeline.

5.10.3 Affordability Alignment

The approved loan amount and term must together produce a monthly repayment that is demonstrably affordable based on the verified income and expenditure assessment. The Bank will not approve a facility solely on the basis that the proposed repayment amount is technically affordable at the DTI level; the credit

officer must also be satisfied that the repayment is sustainable over the full term under the range of foreseeable financial scenarios applicable to the borrower.

5.11 Interest Rate Policy

5.11.1 Fixed Rate Products

Fixed rate credit facilities offer the borrower certainty of repayment amount over the fixed rate period. Fixed rates are priced at the time of credit agreement based on prevailing market rates, the Bank's cost of funds, and the risk-adjusted margin applicable to the borrower's credit profile. Once agreed, the fixed rate shall not be varied during the fixed rate period except in circumstances expressly permitted under the terms of the credit agreement and applicable consumer credit legislation.

For affordability assessment purposes, the fixed repayment obligation is used as the basis of the DTI calculation for the duration of the fixed period. Where the fixed period is shorter than the total loan term, the credit officer must conduct a forward affordability assessment to ensure that the borrower can meet obligations at the anticipated revert rate or at the prevailing variable rate at the time of assessment, applied as a stress scenario.

5.11.2 Variable Rate Products

Variable rate credit facilities carry an interest rate that is linked to a reference rate — such as the Bank's standard variable rate or an external benchmark — and that may change during the term of the facility. The Bank is required to assess affordability at the current rate and, for mortgage and longer-term facilities, at a stressed rate above the current rate as specified in the Credit Risk Parameters schedule.

Borrowers offered variable rate products must receive clear, standardised information about the nature of rate variability and its potential impact on monthly repayments, in accordance with applicable consumer credit and mortgage disclosure regulations.

5.11.3 Customer Affordability Considerations

Regardless of whether a fixed or variable rate is applicable, the Bank will not approve a credit facility solely on the basis that repayments are affordable at a promotional introductory rate. Where introductory rates apply, the affordability assessment must be conducted at the standard rate applicable following the introductory period. Customer affordability at the headline rate must be clearly documented in the credit file.

The Bank's pricing policy ensures that interest rates reflect the risk profile of the borrower and the nature of the security (if any). Higher-risk borrowers assessed at the upper end of the Medium Risk probability of default category may be offered rates that include a risk premium. The application of any risk premium must be documented and communicated to the borrower transparently.

5.12 AI Decision Support Integration

Stratum Capital Bank has deployed an integrated AI-powered Credit Decision Support System comprising three principal components: the Credit Risk Prediction Model, the Explainable AI (XAI) module, and the RAG Policy Retrieval Engine. These components are designed to assist human credit professionals in conducting thorough, consistent, and well-informed credit assessments. Their use is governed by the principles set out in this section.

5.12.1 Credit Risk Prediction Model

The Credit Risk Prediction Model is a supervised machine learning model trained on the Bank's historical credit performance data and validated against external benchmarks. For each application, the model generates a Probability of Default (PD) estimate expressed as a percentage. This estimate reflects the statistical likelihood, based on the application's characteristics, that the borrower will default on the proposed obligation within a defined performance horizon.

The PD estimate is provided to the credit officer as a decision support indicator alongside a summary of the input variables that most significantly influenced the output. It is not a credit decision. The model's output shall be treated as one among several inputs to the credit assessment and shall always be reviewed in the context of human analysis, documentary evidence, and applicable policy.

5.12.2 Explainable AI (XAI) Module

The XAI module accompanies the Credit Risk Prediction Model and generates a plain-language explanation of the factors that drove the PD estimate for each application. This explanation is provided to the credit officer to support their review and to the applicant in a summarised form where required by applicable regulation.

The XAI output identifies the principal positive and negative risk factors for each application, ranks them by relative influence on the PD score, and flags any factor that deviates materially from the Bank's standard risk expectations. Credit officers are required to review the XAI explanation alongside the PD score and to consider whether any identified risk factors require further investigation or documentation.

Where a credit officer's assessment reaches a conclusion materially different from the direction indicated by the XAI explanation, the officer must document the basis of their departure in the credit file. This documentation is subject to second-line review and audit sampling.

5.12.3 RAG Policy Retrieval Engine

The Retrieval-Augmented Generation Policy Retrieval Engine is an AI-powered knowledge retrieval system trained on the Bank's governance documentation, including this chapter. It enables credit officers to query lending policy provisions in natural language and receive contextually relevant policy excerpts with source references.

The RAG engine is a reference and efficiency tool. It does not make credit decisions, provide legal opinions, or override any provision of this policy manual. Outputs generated by the RAG engine must always be verified against the authoritative policy text before being relied upon. In the event of any discrepancy between the RAG engine output and this policy document, this document prevails.

5.12.4 AI Governance Principles

The following principles govern all use of AI tools within the credit decision process:

- AI tools shall support, not replace, the professional judgement of qualified credit officers.
- No credit decision — whether approval, decline, or exception — shall be made solely on the basis of an AI-generated output without documented human review.
- AI model performance, including fairness metrics and predictive accuracy, shall be monitored by the Credit Risk Model Validation team and reported to the Board Risk & Compliance Committee no less than semi-annually.
- Any evidence that AI tools are producing outputs that disadvantage protected groups under applicable equality and fair lending legislation shall be escalated immediately to the Chief Risk Officer and the Head of Compliance.
- All AI model updates, retraining events, and validation outcomes shall be documented in the Model Governance Register maintained by the Credit Risk function.

5.13 AI Risk Thresholds

Mandatory Section — These risk thresholds govern the mandatory workflow routing of all credit applications processed through the Bank's Credit Decision Support System. Compliance with this section is not discretionary.

5.13.1 Probability of Default Categories

The Bank's Credit Risk Prediction Model assigns every credit application a Probability of Default (PD) score expressed as a percentage. This score is classified into one of three risk categories, each of which carries defined mandatory workflow implications:

PD Score Range	Risk Category	Mandatory Decision Pathway
0% – 35% (inclusive)	Low Risk	Eligible for streamlined approval where all policy, KYC, affordability, documentation, and compliance requirements are satisfied
>35% – 50% (inclusive)	Medium Risk	Cannot be automatically approved; mandatory manual review by a Senior Credit Analyst is required before any approval can be recommended
>50%	High Risk	Normally declined; approval may only occur through the formal Policy Exception Framework described in Section 5.16, with documented justification and appropriate authority

5.13.2 Low Risk Applications

Applications scoring within the Low Risk PD range are eligible for streamlined processing. However, eligibility for this pathway is contingent on the simultaneous satisfaction of all of the following conditions:

- KYC completion confirmed with no material adverse findings
- All required documentation received and verified as genuine
- Income independently verified and affordability established within policy parameters
- Credit history assessment completed with no derogatory events requiring escalation
- Proposed loan amount and term assessed as suitable and proportionate
- No compliance flags, fraud indicators, or regulatory referrals outstanding

Where any of the above conditions is not met, the application shall not proceed through the streamlined pathway irrespective of the PD score. The credit officer retains full professional responsibility for assessing whether streamlined approval is appropriate.

5.13.3 Medium Risk Applications

Applications falling within the Medium Risk PD range must be referred to a Senior Credit Analyst for mandatory manual review before any decision is made. The automatic approval pathway is not available for this category under any circumstances. The Senior Credit Analyst shall conduct the full review process described in Section 5.14 and shall document their findings, risk assessment rationale, and decision recommendation in the credit file before the file is presented to the credit officer of the appropriate authority level for final decision.

5.13.4 High Risk Applications

Applications falling within the High Risk PD range shall normally be declined. A High Risk classification reflects a statistical expectation of material default probability, and the Bank's responsible lending obligations and capital adequacy requirements are not generally consistent with the approval of such facilities outside of carefully controlled exception circumstances.

High Risk applications may only proceed to potential approval through the formal Policy Exception Framework described in Section 5.16, and only where the following conditions are satisfied:

- Strong compensating factors are present and documented, such as significant collateral, a co-borrower with a strong credit profile, or compelling evidence that the PD score is not reflective of the applicant's true risk profile due to model limitations
- The exception is proposed by a Senior Credit Analyst and approved by a Credit Manager or above
- The exception is logged in the Bank's Policy Exception Register and reported to the Chief Credit Officer and the Board Risk & Compliance Committee through the quarterly exception reporting cycle

5.13.5 The AI Score Is Never Determinative

Critical Governance Requirement: The Probability of Default score generated by the Bank's Credit Risk Prediction Model is an input into the credit assessment process, not a credit decision. Under no circumstances shall a credit application be approved, declined, or processed solely on the basis of the AI-generated PD score. Every credit decision must be supported by documented human review, evidence-based assessment, and compliance with all applicable provisions of this chapter. Officers who approve or decline applications without conducting proper human review — relying solely on AI outputs — are in breach of this policy and may be subject to disciplinary action.

5.14 Manual Review Policy

5.14.1 Mandatory Human Review

Manual review is required for all applications that present elevated risk characteristics, trigger mandatory escalation conditions, or fall within the Medium Risk or High Risk PD categories. Manual review is also required for all applications above specified value thresholds as maintained in the Approval Authority Matrix (Section 5.17).

During manual review, a Senior Credit Analyst conducts an independent and comprehensive assessment of the application that encompasses the following:

- Re-verification of all key application data against primary documentary sources
- Assessment of the completeness and consistency of the credit file
- Independent affordability assessment, including stress testing where applicable
- Review of credit history with specific focus on any derogatory events and their context
- Analysis of the PD score and XAI explanation, including consideration of whether the score appears consistent with the holistic risk assessment
- Assessment of any compliance, KYC, or financial crime flags raised during processing
- Evaluation of the appropriateness of the proposed product, amount, and term for the applicant's declared circumstances

5.14.2 Documentation Expectations

The Senior Credit Analyst conducting a manual review must produce a written credit assessment memorandum that addresses each element listed in Section 5.14.1. The memorandum shall be structured to clearly identify areas of strength, areas of concern, mitigating factors, and the analyst's reasoned recommendation. This memorandum forms a permanent part of the credit file and is subject to audit review.

The following documentation standards apply to all manual review files:

- All factual assertions in the memorandum must be cross-referenced to a specific document in the credit file
- Any departure from a standard policy position — including the exercise of any discretion permitted by this chapter — must be explicitly identified and justified
- The recommendation (approve, approve with conditions, decline, escalate, refer for exception) must be clearly stated with the supporting rationale
- The name, role, and date of the reviewing analyst must be documented and the memorandum digitally signed within the credit origination system

5.14.3 Escalation Protocols

Where a Senior Credit Analyst conducting a manual review determines that the application presents issues beyond their authority level or outside their direct expertise, they are required to escalate the file. Escalation must occur in the following circumstances:

- The proposed credit amount exceeds the analyst's authority limit as specified in Section 5.17
- The file presents a potential policy exception that requires formal exception approval
- There are unresolved compliance, fraud, or financial crime concerns
- The analyst has a real or perceived conflict of interest in relation to the applicant
- The credit request involves a novel structure, product configuration, or counterparty type not addressed by existing policy

Escalation shall be to the Credit Manager or, where appropriate, directly to the Chief Credit Officer. The escalation referral must be documented in the credit file, including the reasons for escalation and any preliminary assessment conducted by the analyst.

5.15 Automatic Decline Conditions

The Bank maintains a set of conditions under which a credit application must be declined without referral for manual review or exception consideration. The presence of any single automatic decline condition is sufficient grounds for immediate decline. These conditions represent absolute policy prohibitions from which no officer has authority to deviate, irrespective of other positive factors in the application.

5.15.1 Failed KYC

Where the Bank's KYC process produces a failed outcome — including where the applicant's identity cannot be verified, where the applicant matches a sanctions list, or where a Politically Exposed Person referral to the Financial Crime Compliance team results in a negative assessment — the application shall be declined immediately. The credit file shall record the specific KYC failure basis, and the outcome shall be reported through the Bank's statutory reporting channels as required by applicable anti-money laundering regulations.

5.15.2 Fraud Indicators

Applications that present fraud indicators — including suspected synthetic identity fraud, evidence of application manipulation, inconsistencies between declared information and verified data that suggest intentional misrepresentation, or confirmed matches against the Bank's internal fraud detection database — shall be declined immediately and referred to the Financial Crime Compliance and Fraud Investigation teams. The credit officer shall not communicate the specific reason for decline to the applicant in cases involving fraud referrals, pending fraud investigation.

5.15.3 False Documentation

The discovery at any point in the credit process that an applicant has submitted documentation that is forged, altered, materially misleading, or not genuinely issued by the purported source shall result in immediate decline and fraud referral. This applies equally to information provided on the application form itself. The Bank reserves the right to pursue civil and criminal remedies in cases of document fraud.

5.15.4 Identity Mismatch

Where information provided in the application or in supporting documentation does not correspond to information retrieved from the credit bureau, identity verification system, or other independent sources — and where this mismatch cannot be satisfactorily explained — the application shall be declined on grounds of identity integrity failure. Minor and explicable discrepancies (such as name variations due to marriage or deed poll) are not automatic decline triggers provided they are documented and verified.

5.15.5 Material Compliance Violations

Applications that involve, or would facilitate, a material violation of applicable law, regulation, or the Bank's internal compliance policies shall be declined. This includes, but is not limited to, applications where the declared purpose of the loan involves unlawful activity, where the applicant is subject to a court order prohibiting them from entering credit arrangements, or where the transaction would expose the Bank to regulatory sanction.

5.15.6 Unverified Income

Where income declared by the applicant is material to the affordability assessment and cannot be verified against acceptable documentation despite reasonable opportunity, the application shall be declined. The Bank will not approve credit facilities on the basis of unverified income representations, regardless of the PD score or other positive factors.

5.15.7 Severe Affordability Concerns

Where the credit assessment demonstrates that approval of the facility would result in the applicant being placed in a position of severe or persistent financial hardship — even where the DTI ratio may fall within standard parameters at application date — the application shall be declined on responsible lending grounds. Severe affordability concerns include situations where residual income after debt service falls below the minimum viable living cost threshold maintained by the Bank's Credit Risk function.

5.15.8 Critical Policy Breaches

Any application that, if approved, would result in a clear and material breach of this policy — including breaches of concentration limits, single-name exposure limits, or jurisdictional lending restrictions — shall be declined. The credit officer who identifies a critical policy breach must document it in the credit file and notify the Credit Manager.

Officer Obligation: It is the professional responsibility of every credit officer to identify automatic decline conditions promptly. Any officer who proceeds with an application despite knowledge of an automatic decline condition is in material breach of this policy.

5.16 Exception Approval Framework

The Exception Approval Framework governs the circumstances under which credit may be extended to applicants who do not fully satisfy standard policy requirements. The framework acknowledges that rigid policy application can in some cases produce outcomes inconsistent with the Bank's commercial objectives or with the interests of creditworthy applicants who present atypical profiles. However, all exceptions must be formally controlled, documented, justified, and subject to appropriate authority.

5.16.1 Permissible Exception Grounds

Exceptions may be considered where the standard policy criterion in question fails to capture a genuine mitigating factor or compensating strength that materially reduces the risk of the application. Permissible grounds for exception include:

- Significant tangible security offered that substantially mitigates default risk
- Strong guarantor or co-borrower with a verified and materially better credit profile
- Documented evidence that an adverse credit history event was caused by exceptional, non-recurring circumstances (e.g., serious illness, bereavement) and that recovery is substantiated
- Material post-application improvement in financial position (e.g., formal employment commencing between application and decision)
- AI model limitations where the PD score is demonstrably inconsistent with documented risk factors

5.16.2 Exception Authority Levels

The authority to approve a credit exception is tiered according to the nature and severity of the exception and the value of the proposed facility. Standard exceptions may be approved by a Credit Manager. Exceptions involving High Risk PD classifications, or that relate to automatic decline conditions, require Chief Credit Officer approval. In exceptional circumstances, the Chief Credit Officer may refer exceptions of systemic or reputational significance to the Board Risk & Compliance Committee.

5.16.3 Required Documentation for Exceptions

All exception applications must be supported by the following documentation:

- A written exception request memorandum prepared by a Senior Credit Analyst, identifying the specific policy criterion requiring exception, the compensating factors justifying the exception, and the risk assessment supporting the recommendation
- Evidence supporting each compensating factor claimed
- A risk-adjusted terms summary identifying any additional conditions, monitoring requirements, or covenants to be imposed in connection with the exception approval
- Confirmation that all non-excepted policy requirements have been satisfied
- Details of the approving officer's name, role, authority basis, and date of approval

5.16.4 Governance Controls and Audit Requirements

The Bank maintains a Policy Exception Register in which every approved exception is logged within two (2) business days of the approval decision. The register records the application reference, the nature of the exception, the approving officer, the compensating factors relied upon, and the outcome of the exception request.

Quarterly exception reports are prepared by the Credit Risk function and submitted to the Chief Credit Officer and the Board Risk & Compliance Committee. These reports analyse exception trends, identify policy areas generating disproportionate exception volumes, and assess whether exception approvals have produced materially different performance outcomes relative to standard approvals.

The Internal Audit function is authorised to review exception files as part of its scheduled audit programme. Any exception approved outside the parameters of this section, or where documentation is deficient, shall be escalated by Internal Audit to the Chief Risk Officer.

5.17 Approval Authority Matrix

The Approval Authority Matrix establishes the maximum credit amounts and decision types that each authority level may approve without escalation. All authority limits are denominated in the Bank's functional currency and are applied to the total proposed credit exposure, inclusive of any existing facilities held by the applicant or related parties. Officers must not structure facilities to avoid authority limits.

Authority Level	Max Approval (Retail)	Max Approval (Mortgage)	Max Approval (SME/Business)	Exception Authority
Loan Officer	Up to \$50,000	Not authorised	Not authorised	None
Senior Credit Analyst	Up to \$150,000	Up to \$500,000	Up to \$250,000	None (recommends only)
Credit Manager	Up to \$500,000	Up to \$2,000,000	Up to \$1,000,000	Standard exceptions
Chief Credit Officer	Unlimited	Unlimited	Unlimited	All exceptions incl. High Risk

Notes on the Approval Authority Matrix:

- All credit decisions above \$5,000,000 in total proposed exposure require dual sign-off from the Chief Credit Officer and at least one other member of the Credit Committee.
- Loan Officers may not approve any mortgage or business loan application regardless of the amount involved.
- Senior Credit Analysts may approve facilities up to their stated limits only where the PD score is Low Risk and all policy requirements are met. All Medium Risk files at any amount require Credit Manager countersignature.
- The authority limits above are subject to revision by the Chief Credit Officer with Board Risk & Compliance Committee notification. Updated limits shall be communicated through a formal policy addendum.
- Any officer who approves a facility above their authorised limit, or who approves an exception for which they lack authority, is in material breach of this policy and the matter shall be referred to the Chief Risk Officer and Human Resources.

5.18 Decision Case Studies

The following case studies are provided to illustrate the practical application of this policy across a range of representative scenarios. These cases are not precedents; each application must be assessed on its own facts and circumstances in accordance with the applicable provisions of this chapter.

5.18.1 Case Study A — Standard Approval (Personal Loan)

Applicant Profile: Ms. Amara Osei, aged 34, employed as a registered nurse at a major NHS Trust for seven years. Applying for a \$25,000 personal loan for home improvement purposes over a five-year term.

Assessment Summary: KYC completed without adverse findings. Identity verified against valid passport and recent utility bill. Three months of payslips provided confirming a gross annual salary of \$52,000. Bank statements for three months show salary credit consistent with payslip data, regular utility and rent payments, and no evidence of financial distress. Credit bureau report shows no missed payments across all accounts in the preceding thirty-six months; revolving utilisation at 22%. DTI ratio with the proposed facility falls within acceptable parameters. Residual income after all obligations exceeds the applicable minimum threshold by a comfortable margin.

AI Assessment: Credit Risk Prediction Model generates a PD score of 14% — Low Risk. XAI explanation highlights stable employment income, strong payment history, and low revolving utilisation as principal positive factors. No negative risk flags raised.

Decision: Approved by Loan Officer. All policy requirements satisfied. No manual review required by policy. Full documentation retained in credit file.

5.18.2 Case Study B — Mandatory Manual Review (SME Loan)

Applicant Profile: Mr. Dariusz Kowalski, sole director and 100% shareholder of Kowalski Engineering Solutions Limited, a manufacturing SME trading for four years. Applying for a \$350,000 business loan to acquire new production equipment.

Assessment Summary: KYC completed. Identity verified. Certified accounts provided for two years showing steady revenue growth from \$480,000 to \$610,000 with net profit margins of 12% and 14% respectively. Management accounts for the current year-to-date show revenue tracking ahead of prior year. Business bank statements confirm consistent revenue flows. Personal credit report for director shows two missed payments on a personal credit card approximately thirty months ago, since rectified, with no further adverse history.

AI Assessment: Credit Risk Prediction Model generates a PD score of 43% — Medium Risk. XAI explanation identifies the director's prior late payment history and the concentration of business revenue in three key clients as the primary risk factors, partially offset by positive business growth trajectory.

Mandatory Action: File escalated to Senior Credit Analyst for mandatory manual review per Section 5.13.3. Senior Credit Analyst reviews full file, engages with applicant to obtain client concentration data, and determines that two of the three key clients have multi-year contracts in place. Analyst notes that the prior missed payments were isolated and occurred during a documented period of personal financial pressure unrelated to current circumstances. Analyst prepares credit assessment memorandum recommending approval subject to annual covenant review.

Decision: Approved by Credit Manager (within authority limit). Credit assessment memorandum and all supporting documentation retained. Annual covenant review scheduled.

5.18.3 Case Study C — Rejection (Mortgage Loan)

Applicant Profile: Mr. James Dillon and Ms. Sarah Dillon, joint applicants for a \$680,000 residential mortgage. Mr. Dillon self-employed as a freelance IT consultant for eighteen months. Ms. Dillon employed full-time as a secondary school teacher for nine years.

Assessment Summary: KYC completed for both applicants. Ms. Dillon's income is verified from payslips (\$48,000 gross per annum) and is stable and well-documented. Mr. Dillon has provided one year of certified accounts showing net profit of \$74,000; however, per the Bank's self-employment income policy, two years of tax returns are required. Mr. Dillon's single available year of accounts cannot support a two-year average. On Ms. Dillon's income alone, the proposed facility produces a DTI ratio that materially exceeds acceptable parameters. The credit officer is unable to rely on Mr. Dillon's income in the affordability calculation under current policy.

AI Assessment: Credit Risk Prediction Model generates a PD score of 58% — High Risk. The high score reflects the income verification gap and the consequent leverage of the proposed facility relative to verifiable income.

Decision: Declined. Automatic decline conditions in Section 5.15.6 (unverified income, material to affordability) and Section 5.15.7 (severe affordability concerns on verified income alone) are triggered. Credit officer documents the decline rationale fully in the credit file. Applicant informed of the right to appeal per Section 5.20 and advised to reapply once Mr. Dillon has two full years of self-employment accounts available.

5.18.4 Case Study D — Exception Approval (Personal Loan)

Applicant Profile: Ms. Priya Chandrasekaran, aged 52, applying for a \$95,000 personal loan to fund documented medical treatment costs following a serious illness. Her credit bureau report shows a registered default on a personal loan three years and eight months ago, arising during a period of extended medical leave and income interruption.

Assessment Summary: KYC completed. Income verified at \$78,000 gross per annum from a stable professional position. Current credit record is entirely clean for the thirty-six months since returning to full-time employment. Bank statements show consistent, responsible financial management. The default three years ago is within the six-year window that would normally require Credit Manager approval per Section

5.9.5. Applicant has provided medical documentation confirming the non-recurring nature of the health event, confirmation that the prior default has been satisfied in full, and a statutory declaration that she has fully recovered and is expected to maintain employment.

AI Assessment: Credit Risk Prediction Model generates a PD score of 47% — Medium Risk. XAI explanation attributes the elevated score primarily to the historical default. The model has limited visibility of the exceptional circumstances and the strong rehabilitation evidence.

Exception Pathway: Senior Credit Analyst prepares exception memorandum identifying the compensating factors: fully satisfied default, documented non-recurring cause, thirty-six months of exemplary financial management, strong verified income, and medical documentation establishing recovery. The exception memorandum concludes that the PD score is not reflective of the applicant's current risk profile due to the model's weighting of historical derogatory data.

Decision: Exception approved by Credit Manager. Exception logged in Policy Exception Register. File retained with full documentation.

5.19 Documentation Checklist

The following checklists specify the minimum required documents for each credit decision pathway. All items must be present in the credit file before a decision is recorded. Incomplete files shall not proceed to a decision.

5.19.1 Standard Approval Pathway (Low Risk, All Requirements Met)

Document Required	Mandatory	Verified
Completed credit application form (signed)	Yes	☐
Primary identity document	Yes	☐
Secondary identity document / proof of address	Yes	☐
KYC completion certificate (system-generated)	Yes	☐
Sanctions screening clearance	Yes	☐
Income verification documents (min. 3 months payslips or equivalent)	Yes	☐
Employment verification letter or contract	Yes	☐
Bank statements (min. 3 months, all active accounts)	Yes	☐
Credit bureau report (dated within 30 days of decision)	Yes	☐
Affordability assessment worksheet (completed by credit officer)	Yes	☐
AI PD score and XAI explanation printout	Yes	☐
Credit officer decision recommendation (signed and dated)	Yes	☐

5.19.2 Manual Review Pathway (Additional Requirements)

All documents listed in Section 5.19.1, plus:

- Senior Credit Analyst review memorandum (signed and dated)
- Evidence of any additional information requested during manual review
- Stress test calculation worksheet (for mortgage and business loans)
- Credit Manager countersignature where required by authority matrix

5.19.3 Exception Approval Pathway (Additional Requirements)

All documents listed in Sections 5.19.1 and 5.19.2, plus:

- Written exception request memorandum (Senior Credit Analyst)
- Supporting evidence for each compensating factor claimed
- Risk-adjusted terms summary

- Exception approval sign-off (Credit Manager or CCO as appropriate)
- Policy Exception Register entry confirmation number

5.19.4 Business and SME Loan Additional Requirements

In addition to standard documentation, all SME and business loan files must contain:

- Audited or certified financial statements (minimum two years)
- Current year management accounts
- Six months of business bank statements
- Twelve-month cash flow projection
- Certificate of incorporation and constitutional documents
- Details and identity verification for all directors and significant shareholders
- Guarantor documentation and affordability assessment for each personal guarantor

5.20 Appeals & Reconsideration Process

The Bank is committed to fair treatment of all credit applicants and to transparency in its credit decisions. Every applicant whose credit application has been declined has the right to seek a formal review of that decision through the Appeals & Reconsideration Process described in this section.

5.20.1 Grounds for Appeal

An applicant may appeal a credit decision on one or more of the following grounds:

- The applicant believes that material information provided in the original application was not accurately assessed or considered
- The applicant has obtained new information or documentation since the original decision that materially alters the risk assessment
- The applicant believes that the credit decision was made in error or was inconsistent with applicable lending policy
- The applicant believes that the credit decision was made on grounds that constitute unlawful discrimination under applicable equality legislation

An applicant may not appeal solely on the basis of dissatisfaction with the credit decision where no error, new information, or discrimination concern can be identified.

5.20.2 Appeals Submission

Appeals must be submitted in writing to the Bank's Credit Appeals function within sixty (60) calendar days of the date of the original decline decision. An appeal received after this period will not be accepted unless the applicant can demonstrate that there was good reason for the delay that was beyond their reasonable control.

The appeal must specify the grounds on which it is made, provide a clear explanation of the information or argument being presented, and be accompanied by any supporting documentation the applicant wishes to have considered. The Bank may request additional information from the applicant where the appeal documentation is insufficient to support a meaningful reassessment.

5.20.3 Reassessment Process

All appeals are assigned to a Senior Credit Analyst who was not involved in the original credit decision. This analyst will conduct a fresh and independent review of the credit file, incorporating the grounds of appeal and any new information provided.

The reassessment will:

- Confirm that all documentation relied upon in the original decision was accurate and complete
- Assess whether the grounds of appeal raise a legitimate concern about the original decision

- Evaluate any new information or documentation provided
- Determine whether the original decision was consistent with this policy and with the evidence on file
- Produce a written reassessment memorandum setting out the outcome and the rationale

The Bank aims to complete all appeals reassessments within fifteen (15) business days of receipt of a complete appeal. Where additional information is requested, the fifteen-day period is paused pending receipt of that information.

5.20.4 Possible Outcomes

Following reassessment, the outcome of an appeal may be:

- Upheld: the original decision is confirmed as correct, and the decline stands. The applicant will receive a written explanation of the outcome.
- Partially upheld: the assessment is revised in a manner that does not result in approval but may result in modified terms, conditions, or a reduced facility being offered.
- Overturned: the original decision is found to have been made in error, and the application proceeds to approval through the appropriate authority pathway.
- Referred for further review: where the reassessment identifies new complexity or escalation requirements, the file is referred to a Credit Manager or Chief Credit Officer as appropriate.

5.20.5 Governance Controls

All appeals outcomes are logged in the Credit Appeals Register maintained by the Credit Risk function. This register records the original decision, the grounds of appeal, the reassessment outcome, the reviewing analyst, and the date of final determination.

The Credit Risk function produces a quarterly analysis of appeal volumes and outcomes for review by the Chief Credit Officer. Where appeal data reveals patterns of inconsistent decision-making or policy misapplication, the Chief Credit Officer is responsible for initiating corrective action including additional training, process enhancement, or policy revision.

Where an applicant believes that their appeal has not been handled fairly or that the Bank has engaged in discriminatory conduct, they retain the right to refer their complaint to the applicable financial services ombudsman or regulatory authority in their jurisdiction.

5.21 Chapter Summary

This chapter has established the complete lending policy and credit decision framework for Stratum Capital Bank, governing the origination, assessment, approval, and post-decision management of all personal, mortgage, SME, and business loans. The provisions set out herein represent the Bank's binding internal standards and constitute the primary governance instrument for all credit professionals, AI-assisted systems, and oversight bodies involved in the lending process.

The following principles, taken together, define the Bank's approach to responsible and disciplined credit extension:

Lending is a fiduciary responsibility

Credit is extended in service of the borrower's genuine financial interests and the long-term stability of the institution. Commercial considerations do not override responsible lending obligations.

Every decision requires verified evidence

No credit decision — whether approval, decline, or exception — may be made on the basis of unverified assertions, incomplete documentation, or assumptions unsupported by independent evidence. The quality of the credit file is the foundation of every decision.

Policy compliance is non-negotiable

All credit decisions must comply with the provisions of this chapter. Where a policy provision is unclear or appears to produce an outcome inconsistent with its evident purpose, the officer must seek guidance from a Credit Manager rather than proceeding on the basis of an assumption. No officer has authority to waive policy requirements except through the formal Exception Approval Framework.

AI is a tool, not a decision-maker

The Bank's AI-powered Credit Decision Support System — comprising the Credit Risk Prediction Model, the XAI explanation module, and the RAG Policy Retrieval Engine — provides valuable decision support. These tools enhance the consistency, efficiency, and rigour of credit assessment. They do not make credit decisions. Every credit decision is made by a qualified human professional who bears personal accountability for its quality.

Human judgement remains paramount

The Probability of Default score produced by the Bank's model routes applications to the appropriate workflow — Low Risk to streamlined assessment, Medium Risk to mandatory manual review, High Risk to normal decline or formal exception — but it does not determine the outcome. Human review, professional judgement, and evidence-based assessment are required at every stage.

Exceptions are controlled, not discretionary

The ability to approve credit that does not fully satisfy standard policy requirements is a tightly controlled privilege, not an officer's discretion. Exceptions must be justified, documented, approved at the appropriate authority level, and reported through the governance framework.

Appeals and reconsideration are rights

Every declined applicant has the right to a fair and independent review of the credit decision. The Bank's appeals process must be operated with integrity, independence, and transparency.

Final Notice to Credit Professionals: This chapter must be read in its entirety. Partial familiarity with its provisions is insufficient. All credit professionals are required to confirm annually that they have read and understood this policy. Queries about its application shall be directed to the Credit Risk function. This policy is a living document and is subject to revision; the version in force at the date of any credit decision is the version that governs that decision.

This chapter takes effect from the date stated on the cover page and supersedes all prior versions of the Loan Policy Manual and any standalone policy documents that governed the lending activities described herein.

— End of Chapter 5 —

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